

It is important not to fall in love with any particular vehicle. The salesman will be able to sense your infatuation and you will be less able to act rationally and objectively.

During your research phase, realize that our nation spends as much on advertising as it does on elementary education in public schools. Advertisements may be very persuasive and awaken interest in a particular car, but don't stop there. Check out magazines like *Consumer Reports*, which objectively rate automobiles in their annual "Car Guide." The Internet is also a wonderful place to comparison shop. Most car companies and large dealers have websites where you can find out prices and features. As you find cars you are interested in, add them to your comparison list.

You'll also need to decide whether you want a new or used car. There are advantages and disadvantages to both. New automobiles lose their value more quickly, but you'll probably be covered under a limited-time warranty if you need to do repairs; whereas, a used car may not be covered by a warranty and you do not know how the previous owner cared for the car. An obvious advantage of used cars is that they require less money and will free up your money for other things. For example, instead of buying a \$30,000 sport utility vehicle, you buy a \$10,000 used compact car and invest the remaining \$20,000. At a 10 percent interest rate, that money becomes \$1 million over the course of forty years! And think of the money you'll be saving in gas!

A final decision to be made by the purchaser is whether to purchase a service contract. Every new vehicle comes with a factory warranty (covering repairs for an initial period of time after the purchase), but an optional extended service contract is usually available at an additional cost. The price of the service contract should be negotiable. Keep in mind that less than 20 percent of service contracts are ever used. The price range could stretch from several hundred dollars to over \$1,000, depending

